Committee on Fuller Capital Account Convertibility II

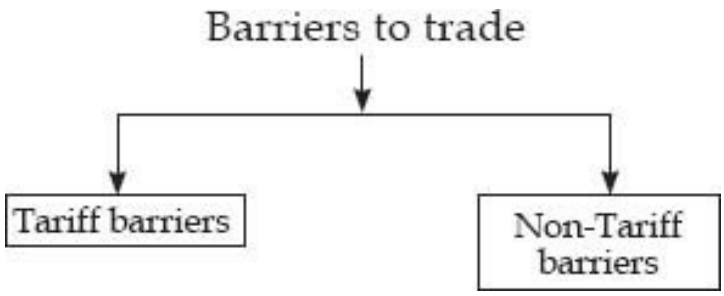
After a decade, another committee was formed, again under the chairmanship of S.S. Tarapore in 2006. This time also, its approach was the same.

It recommended capital account convertibility implementation in a phased manner, in three phases from 2006 to 2011.

Barriers to Trade

The policy instruments which obstruct trade are called as barriers to trade. They are of two types namely, tariff barriers and non-tariff barriers as shown in the following figure 11.1.

Figure 11.1



Tariff Barriers

Tariff refers to the duty on import and export of goods. M.L. Jhingan observes "But for practical purposes, a tariff is synonymous with import duties or custom duties".

The reason for imposing tariff on import and export is different. The tariff on import is to make the price of imported goods equal to domestic goods. It increases the price of imported goods. So import is discouraged. If it is imposed on export goods its aim is to discourage export and make the goods available in domestic market which